

An Analysis of Australia's National Housing Accord, and How Could It Be Improved?

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Introduction

Australia is currently facing a housing crisis driven by an overall shortage of homes, partly due to the slow rate of new housing construction relative to population growth. This shortage has led to rising property prices with Australia's median dwelling prices increasing by \$230,000 in the last 5 years (Kelly, 2025), making home ownership increasingly unaffordable, especially for younger Australians. Economists attribute factors such as zoning restrictions (Kendall & Tulip, 2018), rental unaffordability, investor power and population growth as key drivers causing the housing crisis (Daley et al, 2018). Ineffectively responding to the housing crisis may pose long lasting consequences to many prospective homebuyers, the homeless and the Australian economy. To combat the housing crisis, Australia has launched the National Housing Accord, an initiative which aims to build new, well-located homes over a five-year period from 2024 as well as take immediate and long-term actions to support the delivery of new homes through the efforts of collaboration between the government, investors, and the residential development, building and construction sector (Australian Government, 2024). Recently however, the National Housing Accord has been criticised for being unable to meet its targets by the end of the lifetime of the initiative (Australian Bureau of Statistics, 2024).

Australia's National Housing Accord

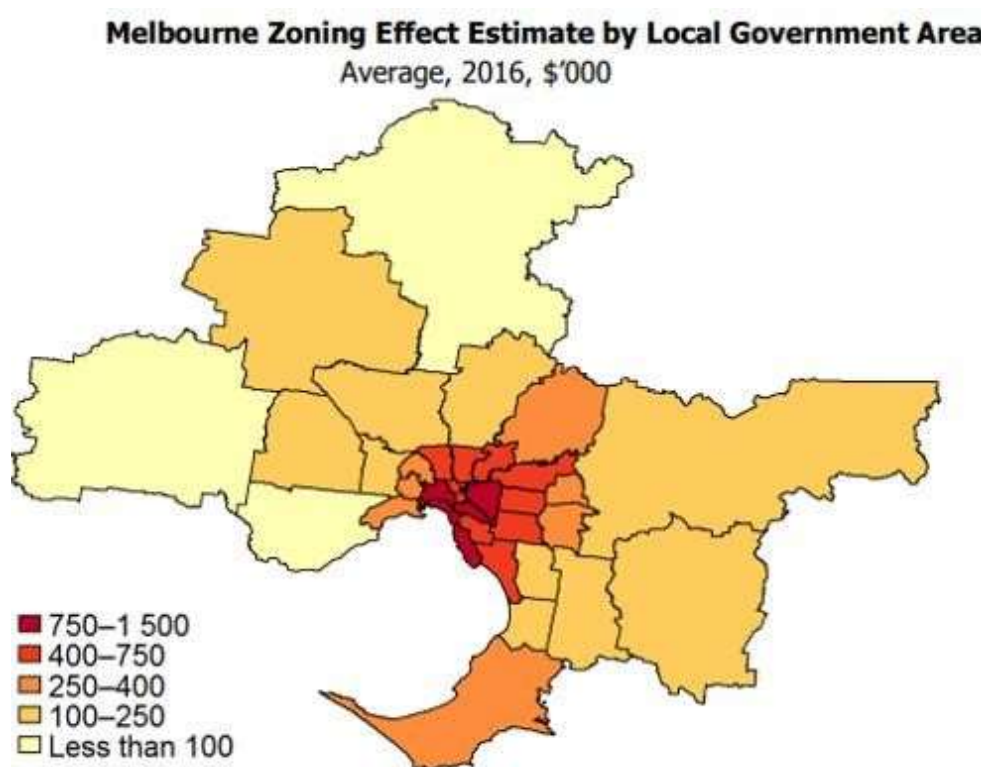
The NHA aims to build 1.2 million homes in key zones which are near transport options and job opportunities by 2029 (Australian Government, 2024). The initiative aims to facilitate this by directly funding housing construction, reducing barriers to construction through the zoning and release of land, and increasing the supply of apprentices to affordable housing projects. Since its commencement in July, Australia's has currently built on average 45,000 homes per quarter, falling short 15,000 of the projection (Australian Bureau of Statistics, 2024).

The National Housing Accord has pledged \$3.5 billion from the Commonwealth and \$350 million towards social housing. Currently, the direct funding of housing construction has not increased the number of houses being built (Australian Bureau of Statistics, 2024) and has not provided the market with the types of housing that it needs. Australians generally value independence and spaciousness in their housing, but when factoring in the premium costs of detached housing, their preferences show that townhouses and apartment complexes are

underrepresented in our housing market's composition, whereas detached housing is overrepresented (Kelly et al., 2011; Daley et al, 2018).

Labour shortages and increased labour costs have also impeded the NHA's ability to meet its goals. As of late 2024, job vacancies in the construction sector had increased by 33.7% compared to 2019, leaving over 22,000 positions unfilled which has led to project delays and increased labour costs (Smith, 2025).

Zoning regulations, local governments and neighbourhood sentiment also pose a challenge in building denser housing units. Resistance to housing initiatives and construction planning being rejected can occur in multiple stages of the approval process due to overlapping regulations (Painter, 2025). These are negative externalities; personal downsides to investors and local governments which means societies' interests are not fully represented in decision making. Research by the RBA, supported by international studies, shows that zoning regulations significantly impact housing prices, accounting for over one-third of the cost of an average Australian home and are becoming increasingly strict over time (Kendall and Tulip, 2018).



(Kendall & Tulip, 2018)

The NHA addressed this by tasking planning ministers with creation of a roadmap for zoning reform and streamlining approval processes by August 2023 (King, 2022) with updates coming in early 2024 and 2025.

In updates dated September 2024, upzoning and denser planning was reported to have commenced (Australian Government, 2024) and the streamlining of the approval process has seen further progress. Currently, Australia faces supply side challenges such as a lack of labour and resources in construction and planning. Solutions implemented help resolve standardisation and modernisation in the governmental workflow, which are adaptations that should come with or without a housing accord.

The NHA aims to address the zoning problem, but their execution and methods have been unable to meet Australia's demands. The NHA must focus on a timely deliverance of its promises with stricter timelines, more material and productive initiatives so that housing construction and upzoning can start to alleviate the problems Australians are already facing, with housing affordability negatively affecting the wellbeing of our society (Farsangi & Fereidouni, 2024).

Approaches to Similar Cases

Other countries which are geographically close to Australia have seen success with treating their own housing crisis with specific strategies.

New Zealand addressed its own housing crisis with funding schemes such as the Infrastructure Funding and Financing Act 2020 to help developers raise long term financing for infrastructure investment to make more land available for housing development (Kohler, 2024). Australia's housing crisis has worsened due to limited infrastructure investment and various regulations across different states leading to delays in housing development.

Australians place value in living near transportation and work; reducing the cost of travel in time and money increases societal wellbeing and productivity (Daniels, 2022). Sufficient infrastructure investment may help to resolve challenges that the NHA faces by streamlining planning and increasing the supply of available land.

Kohler (2024) also describes how Japan has resolved its housing crisis with a zoning system which allows for certain nuisance levels, ranging from residential to industrial. Using such a zoning system, Japan has been able to make informed and streamlined decisions about each

zone's housing types and densities. Unlike Australia's restrictive zoning laws which limit development and contribute to housing shortages, Japan's zoning system allows for mixed-use development and higher density housing which help the supply side to be more responsive to society's changing demands. Australia could adopt various zoning reforms in hopes of increasing housing supply and making new homes more affordable.

Singapore has used its Housing & Development Board (HDB), which is the central authority that builds and manages public housing, to navigate its own housing crisis. The HDB is able to offer subsidised flats and provide fixed rate loans which allows buyers to use their Central Provident Fund savings for repayments which helps with the affordability of new homes (Kit, 2021). The use of the HDB has allowed for Singapore to achieve a high home ownership rate of approximately 90% (Phang & Helble, 2016). Australia's reliance on market driven solutions displayed through limited public housing has imposed affordability challenges on first homebuyers. Using centralised decision-making and subsidised housing could help to address these issues but Australia would face the challenges of power restructuring and political opposition. Denser and cheaper housing also goes against the wishes of existing homeowners who contribute to competition for construction resources strains the scarcity of planners in government (Australian Government, 2024). Labour and resource shortages should be met with government initiatives, but the trickle-down effects into housing supply may not be timely.

Potential Policy Improvements

After looking at what other countries have been able to achieve, it is evident that additional steps must be taken to combat the housing crisis.

One possible improvement to the current National Housing Accord would be a larger concentration of resources into Australia's housing development into higher-density options which could include restructuring the 1.2 million homes goal to include metrics for housing density. High density housing present more cost-effective housing solutions that better aligns with consumer budget constraints and current urban infrastructure capabilities (Kelly et al., 2011; Grudnoff & Jericho, 2024). Through increasing housing density, the Australian Government can utilize existing land more efficiently while reducing the need to expand infrastructure into undeveloped areas. Lower per-unit construction costs and lead times can also have positive externalities such as less construction delays for surrounding transport

(Pojani, 2023). However, such a shift may be dampened by entrenched cultural preferences for detached housing, which are traditionally equated with quality of life, status and longterm investment value (Daley, Coates & Wiltshire, 2018). Logistics for council approvals and financing for more medium-density developments are also generally more complex which can slow implementation initially.

Direct public investment in social housing, efforts to upzone and infrastructure expansion provides a policy mix to help create targeted supply to address the current crisis. Public and non-profit development projects focus on providing stability and equity in housing (Community Affairs References Committee, 2024; AHURI, 2022). Upzoning involves re-zoning existing properties allowing for higher densities, heights and varied developments than what was previously permitted. Upzoning would help increase the allowance on housing density in urban areas, allowing faster and more effective developments to support supply (Pojani, 2023). When paired with infrastructure expansion in development sectors, we can reduce current bottlenecks curbing supply. Social housing would provide stable accommodation for low-income households priced out of current rental markets, easing demand pressure. Despite the benefits, direct public investment remains capital-intensive amidst budgetary constraints and attracts political resistance. Additionally, upzoning may allow landowners and developers to profit more from current market behaviours. Policies such as a value capture levies, which tax increases in value due to policy implementations like upzoning, allow the government to recoup some of that benefit and reinvest in into affordable housing or other policy solutions.

The National Housing Accord could also be improved using demand side influences to better housing affordability. The current National Housing Accord does not address the issues of negative gearing and capital gains tax discounts. Negative gearing allows investors to use losses in properties to lower their taxable income allowing them to maintain lower tax brackets, benefiting those in higher income brackets and contributing to the present housing crisis. These policies have been shown to inflate housing prices by encouraging speculative investment which undermines the efforts of supply-side intervention in the housing crisis (Grudnoff & Jericho, 2024; Kelly et al., 2011). The removal of these incentives would help curb demand from property investors, easing price pressures and allowing for steadier wealth redistribution towards lower-income potential homebuyers. These solutions however may face political resistance from influential electorate segments with vested interests who benefit most from these policies.

If lowering unwanted demand is not effective, increasing financial incentives for first-home buyers and promoting owner-occupation are key policy options. Actions such as increasing low-deposit loan availability, larger grants with live-in ownership clauses, and national adoption of stamp duty concessions for first-home buyers help move the market away from investor-dominated and give individuals seeking housing stability some needed assistance. However, while these incentives help homebuyers, if not paired with equally supportive supply measures, they can risk simply inflating demand and pushing price levels even further (Al-Khouri & Daly, 2024). Moreover, these policies may have limited impact in a market where housing remains universally unaffordable relative to average income making it difficult to close the significant gap in purchasing power between the average and those currently participating in the market. Fortunately, the NHA is comprised of mainly supply-side reforms which if strategically aligned with targeted assistance to priority purchasing groups, can help shift the dynamics of the current housing market towards higher equity and sustainability.

Conclusion

Australia's NHA has faced numerous challenges which have impeded its progress including resistance to its proposed housing schemes and initiatives, labour shortages, and increased costs of labour. The NHA has also not provided the optimal housing types being townhouses and apartments, whilst maintaining an overemphasis on detached housing. To resolve some of the issues mentioned the NHA could consider further planning and a revision of resource allocation to provide more efficient high-density housing which can meet the demands of Australia, investment into social housing and establishing necessary infrastructure to accommodate Australia's growing population, addressing negative gearing and revising the capital gains tax, and aiding first home buyers with friendlier loans and subsidies to improve affordability. Ultimately, a reformed and forward-thinking approach by the NHA is essential to ensure Australia's housing system becomes more equitable, accessible, and sustainable for future generations.

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